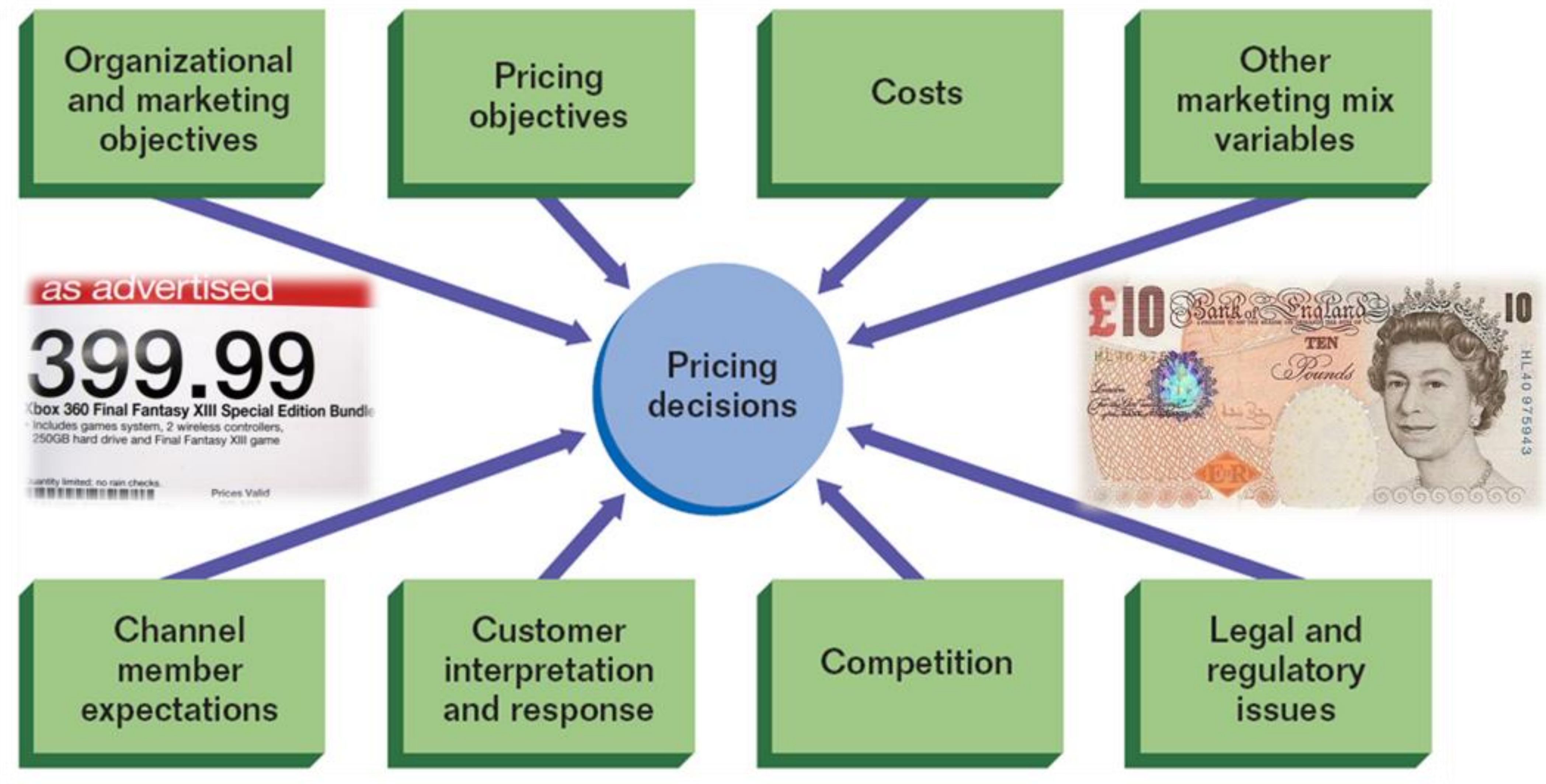


Price & Pricing

Apiradee Wongkitrungrueng, Ph.D.

The role of price

- Narrow term: the amount of money exchanged for the ownership or use of products
  - Other names: fee, fare, rate, charge, ticket, wage/salary, rent, lease, commission
  - For consumers, price significantly affects purchase decision.

- Price as an indicator of quality
  - Price creates a first impression of the quality and other value based judgments
  - When consumers cannot judge the quality due to the lack of information or skill, especially for high risk services like medical treatment
  - In addition to cover the cost and match competitors price, prices must be set with care to convey the appropriate service quality
  - Pricing low can signify cheap, pricing high can indicate quality but too high price can backfire.

THE PARADOX OF PRICE AND VALUE

PRICE is what companies put on the tag

VALUE is what consumers feel they get out of the experience

Price (Broad Term)

Price = the sum of all the **values** that customers give up to gain the values of having or using a product or service

- Value = perceived benefit – perceived cost
  - Benefit = status, convenience, brand, quality, performance
  - Cost = actual price + other costs (monetary + nonmonetary)
    - Monetary: service fee, delivery, warrantee, transportation
    - Non-monetary costs: time, effort, psychological costs

Did I get value for price paid?

- If consumers don’t perceive high value, they won’t pay high price for it.
- Effective pricing involves understanding how much value consumers place on the benefits received from a product and <u>setting a price that fits the value</u>.

Reference Price

A price is almost never judged by itself.
To determine if the price is low/high, consumers compare it with other prices they knew/encounter

- The price consumers use as a reference and anticipate paying or consider reasonable to pay for a particular product, usually lower than actual price

1. Internal price: based on consumer's memory of price paid, past experience, knowledge/common sense
   - Price you paid last time, usual discounted price
     - There is a range of prices around the reference price within which most people don’t notice or react to price changes (zone of indifference). 4-5% for grocery and 17% for beauty products
   - Cost: raw material, advertising, rent

2. External (marketer-supplied) price: based on the environment (ad, price tag, sign, label, display)
   - Current Price
     - Manufacturer’s suggested price (MSRP), advertised price
     - Price of competitive brands, average price in the market
     - Encountered price of other products: to make store prices look low, stores price salient products lower
   - Contextual factors: when/where/how the product is distributed

Price perception

Unit price = 5/7 = 0.7 THB/1

Price/kg = 5THB/14g = 357THB/1kg > Pork

Raw potato 14 baht/kg

Ingredients

Air	80%
Potato	15%
Seasonings	3.0%
Salt	1.5%
Sugar	0.5%

Cost is attributed to the presenters’ fee. The standard rate is 5 million

With Nadech & Yaya as presenters, the quantity reduces from
20 to 7 pieces

What’s your reference price

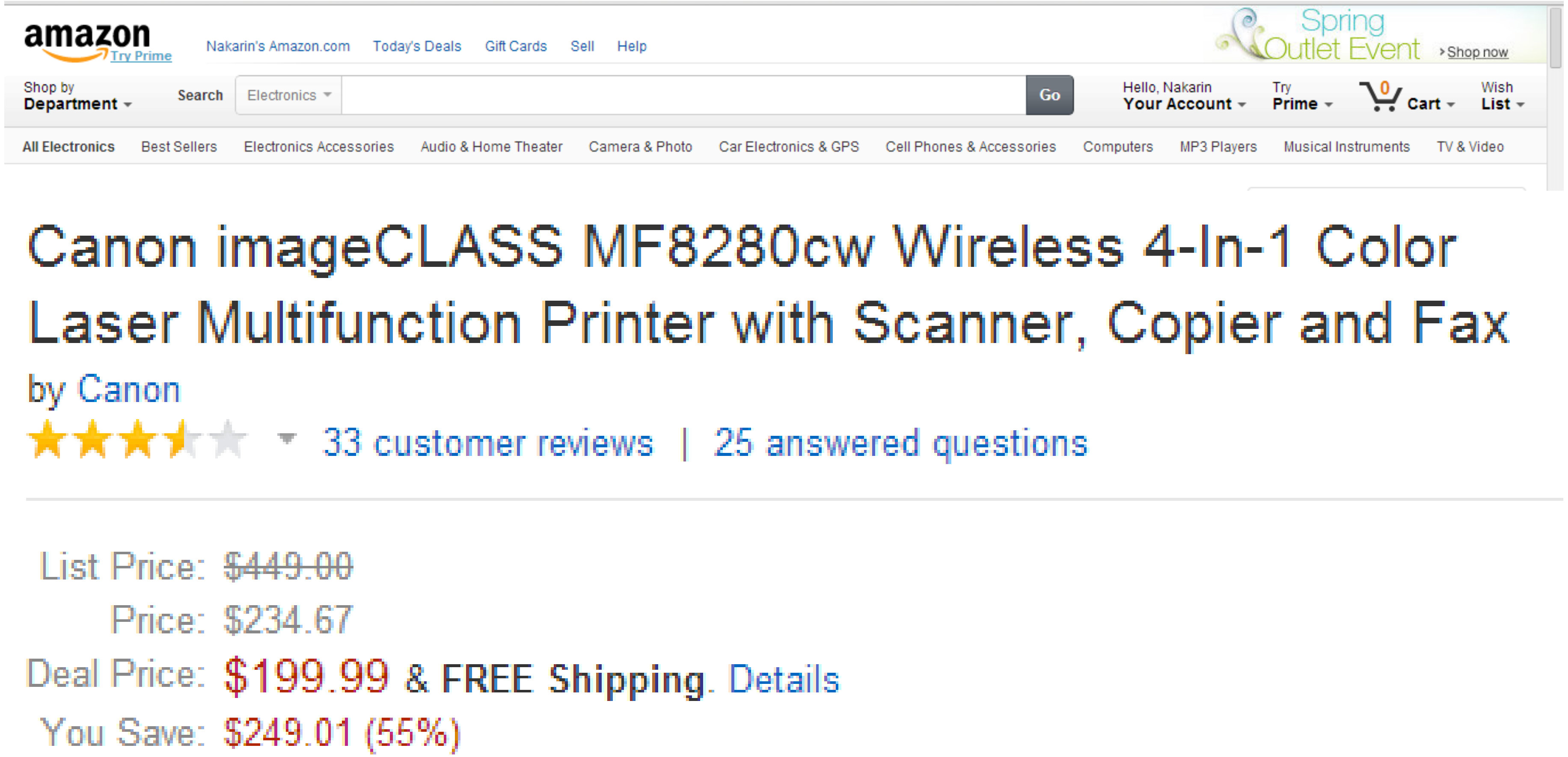
How do you know what these things SHOULD cost, if you’ve never purchased them before

- Goods
  - Foldable laptop
  - Smart glasses
  - Indoor smart garden
  - Hair growth cap
  - Vintage Rolex Submariner Date 1970s

- Service
  - Covid Vaccine
  - Haircut service at home
  - Tooth filling
  - Travel insurance
  - Repairing service at home

1.4 million dollars for the world’s fastest pigeon

How firms use reference price



Any external reference price supplied by a marketer, even an exaggerated one, has a positive effect on shopper evaluations

How to influence consumer price perception

Contextual Factors

- Product feature (color)
- Packaging
- Labeling/Caption (wording, font, color)
- Store location
- Ambience
- Presenter/salesperson/Service provider
- Product placement
- Visual merchandising

Feature/Packaging/Labeling/Branding

- Material: people tend to believe glass packaging is reserved for more expensive products
- Color: silver, black, white and gold colors can increase the value of your product.
- Size: packaging your product in a big vs. small box
- Leverage a popular brand or trademark
- Word choice: product category, brand name, product description, caption, conversation

Location/atmospherics/Visual Merchandising

- Instead of selling its jellybeans through traditional candy outlets, Jelly Belly made the conscious decision to sell them at specialty and gift stores, where sweets alternatives included *higher-priced* items such as gourmet chocolates and fruit baskets.
- Visual merchandising is the process of designing your floor layout, shelving layout and product displays to maximize sales and give customers an exciting shopping experience


Same product. Different context, different reference points, different price sensitivity.

The role of price

- For firms, price = the only marketing mix that produces revenue.
- The most flexible marketing mix
  - Easy to change (esp. via smart shelf, dynamic pricing)
  - Easy to copy

- A company uses to achieve its marketing objectives
  - Price affect quantity sold, and thus indirectly affect costs
  - determines a firms' market share and profitability
  - HBR study claimed that a 1% improvement in price increases operating profit by 11%

	Underpricing	Overpricing
Causes:	• Desire to undercut the competition • Desire to sell more	• Need to cover costs (which may be too high) • Overconfidence in the offering's value
Effects:	• Razor thin margins (potentially negative) • Reduced perceived value • Money left on the table	• Significantly decreased sales • Customer buyer remorse • No economies of scale and/or network effects
Solutions:	• Decrease costs to improve margins • Create viral effects to boost quantity • Leverage network effects to increase value	• Increase functional and/or symbolic value • Offer discounts/sales to sell more • Decrease costs to decrease price

Generally, it is **better to overprice**, unless you are specifically trying to create a network effect. This is because: (1) most companies have a **tendency to underprice** and (2) it is **easier to decrease price** than increase price.

Parameter	Change	Impact on operating profit
Price	1% ↗	11% ↗
Variable costs	1% ↘	7,3% ↗
Sales	1% ↗	3,8% ↗
Fixed costs	1% ↘	2,8% ↗

Factors Affecting Pricing Decisions

Internal

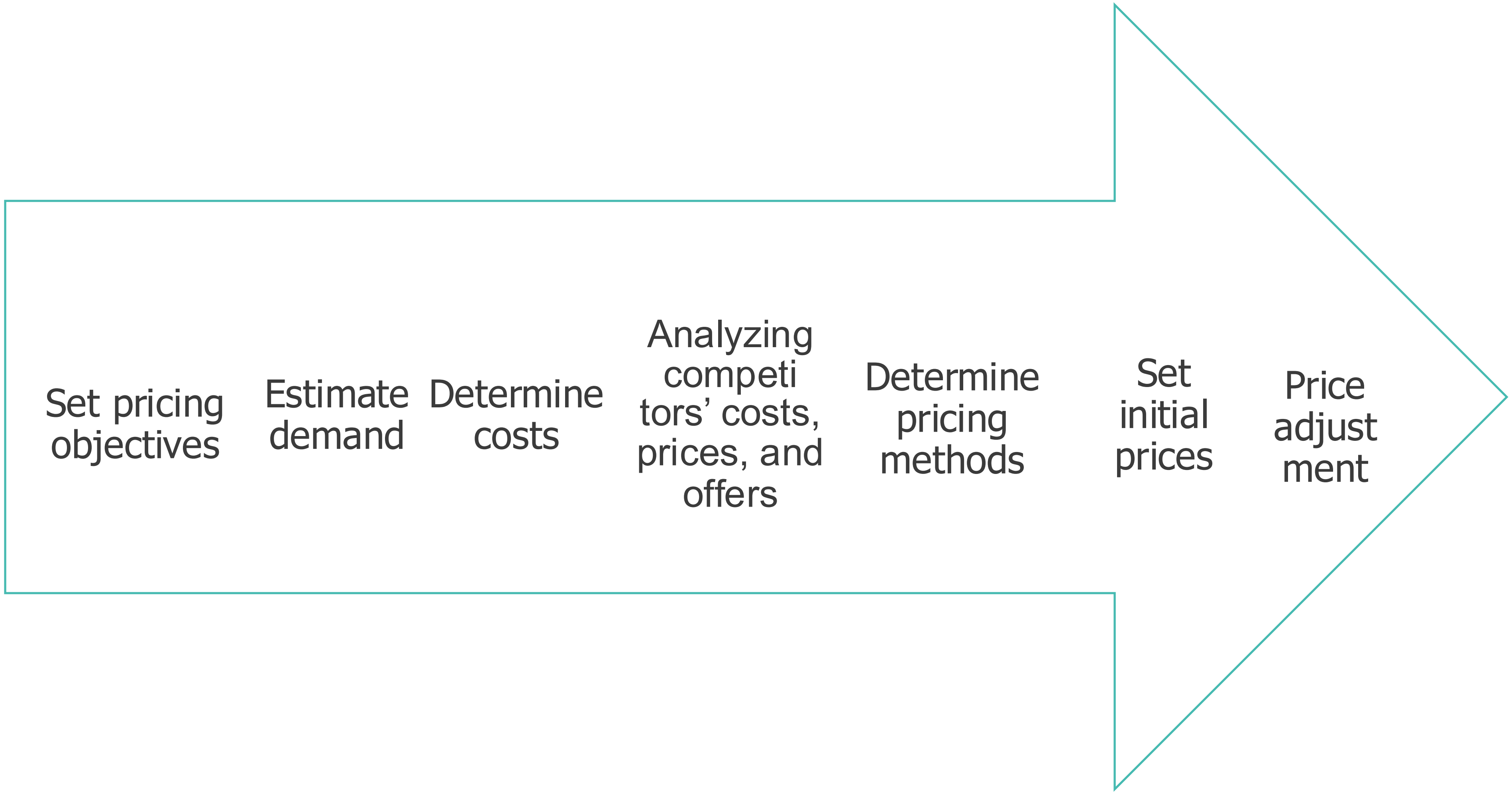
- Marketing objectives
  - Mk share, volume, profit
- Marketing strategy
  - Target and positioning
  - Other marketing mix
- Production Costs
- Organizational factors

External

- Consumers
  - Customer value, market size and price sensitivity
- Competition
  - Competition in the marketplace
  - Competitor's pricing
- Economic and regulatory factors

Steps in setting prices

The process of determining an appropriate price for the product



Pricing Objectives

For-profit companies

- **Profitability (achieve target return)**
- **Volume (generate sale or secure adequate market share)**
- Meet competition objectives (survival)
- Prestige or Quality leadership (gain an appropriate image)

Pricing objectives are selected with your business and financial goals in mind.

- To become a market leader, you'll want sales/share maximisation objective
- To be a leader in your industry, you may want a quality leadership objective
- To expand your production, profit maximization may be relevant as you need funding for facilities and labor
- Survival objective will be used when market conditions are poor, when a business is experiencing hard times, or when first entering a market.

Pricing Objectives

1. When 'Great Cuts' (haircut) originally opened, they charged just $12 per haircut. After they've become more popular, they've progressively increased their price to over $20

2. Flip-flop restaurant has enjoyed a steady flow of customer, including many repeat ones. However, it has decided to close in 3 months' time in order to redevelop the site for apartments, so they have decided to increase the average price of meals from $15 to $25 until the restaurant closes

3. Mercedes-Benz prefers to maintain high prices, even though they could discount or reduce prices at times

4. Most McDonald's stores offer at least one low price menu item targeting children

5. Some supermarkets do not use high/low pricing with discounts, but prefer to use 'everyday low pricing' (EDLP)

6. Some retailer loyalty schemes are expensive to run and only those customers who heavily use the schemes receive any real benefit

7. Large department stores usually have large sales in January. This is designed to clear stock and ensure good sales levels in a traditionally quiet sales month.

For your answers, choose from:

A. To increase short-term cash flow

B. To maximize profits

C. To enhance customer loyalty

D. To grow market share/customers - long term

E. To increase customers - for a short period only

F. To support the firm's positioning

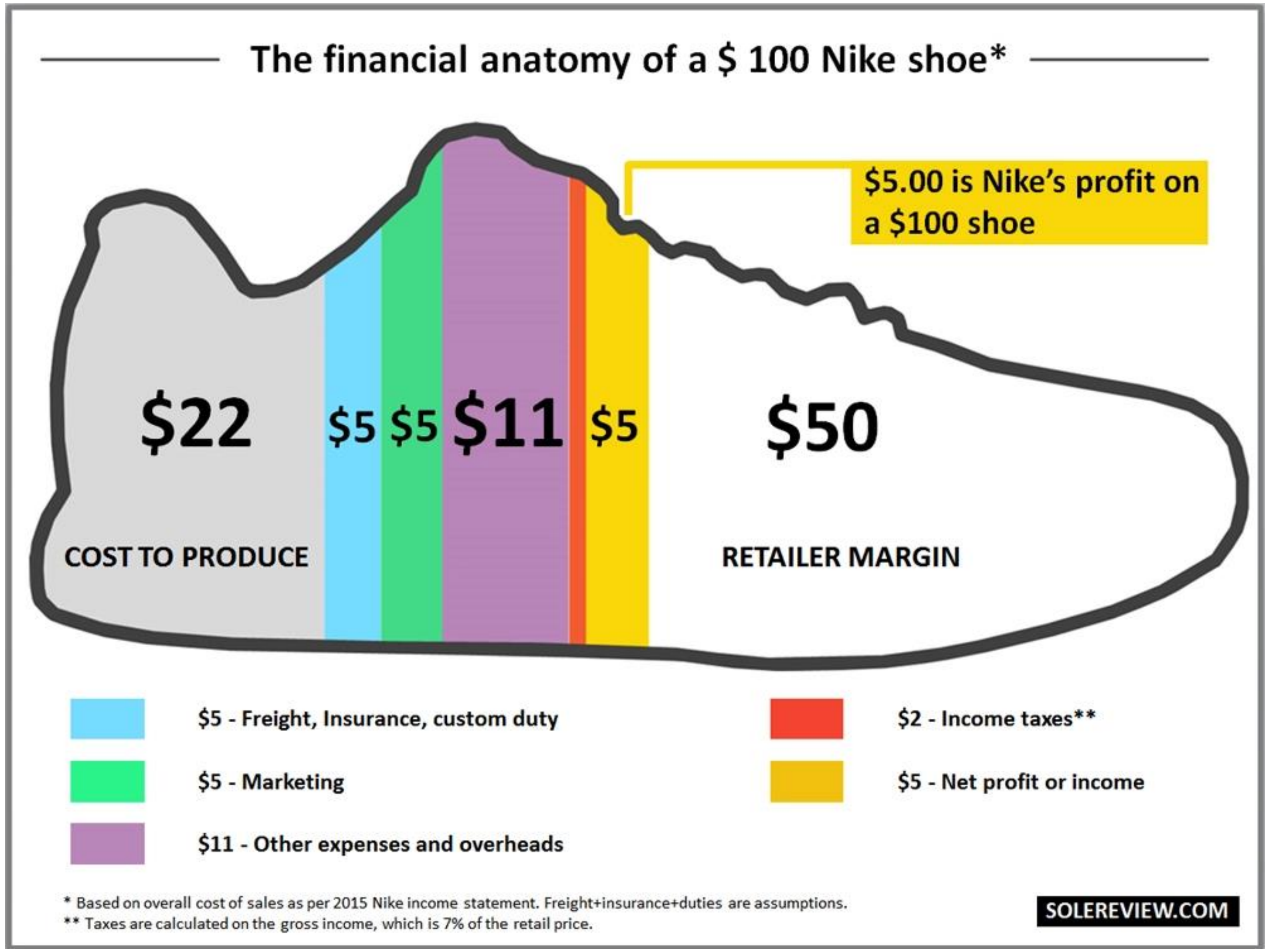
G. To demonstrate the high quality of their product

Customer's Demand

- Demand is the quantity of a good or service that consumers would be willing to purchase for every possible prices.
    - How many potential buyers are there?
    - How much buyers are willing to pay? Do they perceive the offering value?
    - Will they buy the product, given a particular price?
    - How sensitive are they to price change?
- Factors influence Demand
    - Price and availability of similar products
    - Consumer tastes which depends on culture, demographics, technology
    - Consumer Income
- Demand estimate
    - Secondary research
        - Review of past prices, quantities sold (historical sales data, market size), and other factors can reveal their relationships.
    - Primary research
        - Surveys the number of units consumers would buy at different proposed prices
        - Conduct the experiment by varying prices in the store

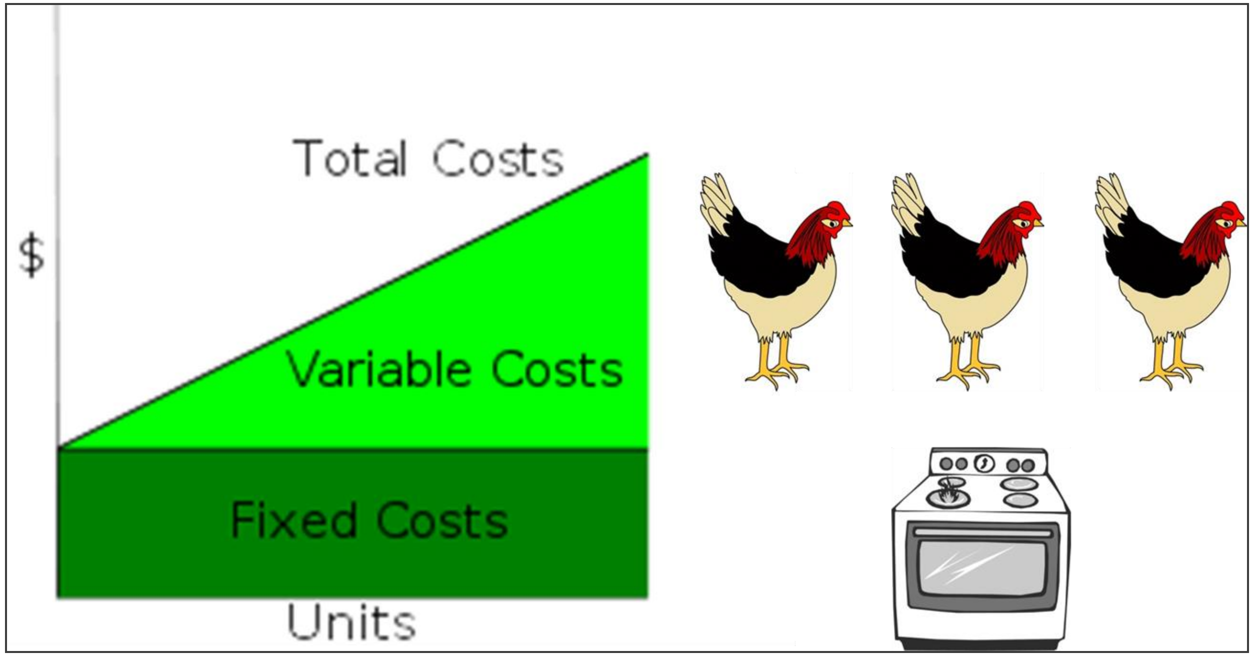
Firm's costs

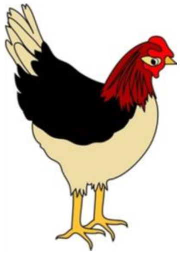
- Total cost = Direct costs + Indirect costs
  - **Direct (production cost): costs directly associated with the output**
    - Direct materials
    - Direct labor
    - Operational expenses e.g. equipment cost
  - **Indirect (nonproduction cost)**
    - Research and development costs (product design, improvement)
    - Overhead costs (utility e.g. electricity/water, rent, tax, insurance, and depreciation of factories and equipment)
    - Marketing costs (advertising, sales promotion)
    - Distribution costs (packaging, transportation)
    - Administration (management, human resources)

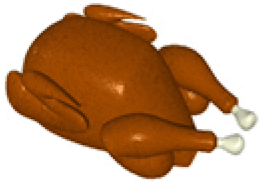


Total cost = Fixed costs + Variable costs

- Fixed cost: not vary with production/sales level
  - Rent, leasing fees for equipment, contracted advertising, insurance, executive salary
- Variable cost: vary with production/sales level
  - Raw materials, wages and commissions, utility bills, marketing







Pricing Services is… *Really Hard*

Service has unique characteristics

- No ownership of services
- Services are hard to evaluate
- **Importance of time factor**
- Labor is more difficult to price than material
- **Variability of input and output**
    - Services are sold in terms of input units (like hours) rather units of measured output

Dentist	Cost for Filling	Distance to Dentist	Wait Period for an Appointment	Time in Waiting Room	Anesthesia
A	$50	15 miles	3 Weeks	1.5 hour	None
B	$75	15 miles	1 Week	.5 hour	Novocain
C	$125	3 miles	1 Week	1 hour	Novocain
D	$200	3 miles	1 Week	No wait	Nitrous Oxide and Novocain

- **Time/convenience**
- **Qualification of the service provider**
- **Extra services/consumer experience**
- **Physical evidence e.g. atmosphere, equipment**
- **Living costs**

Competitive and other factors

Competitive factors

- Competitors' cost, price, and possible reactions to the company's move
- Degree of competition in the market

Economic and Regulatory factors

- Interest rate, inflation, currency exchange, import taxes
  - Affect production costs, buyer perception and purchasing power
- Government control prices for necessary goods e.g. gas, pork, egg, palm oil, flour, rice, detergent, iron, plastic, medicine, fertilizer, cement, paper

Pure/Perfect competition

- Many buyers/sellers. Homogeneous commodity
- No single buyer/seller has effect on market price
- Cannot charge higher and make no sense to charge lower

Monopolistic competition

- Many buyers/sellers. Differentiated product, different prices.
- Firm is less affected by competitor's pricing

Oligopolistic competition

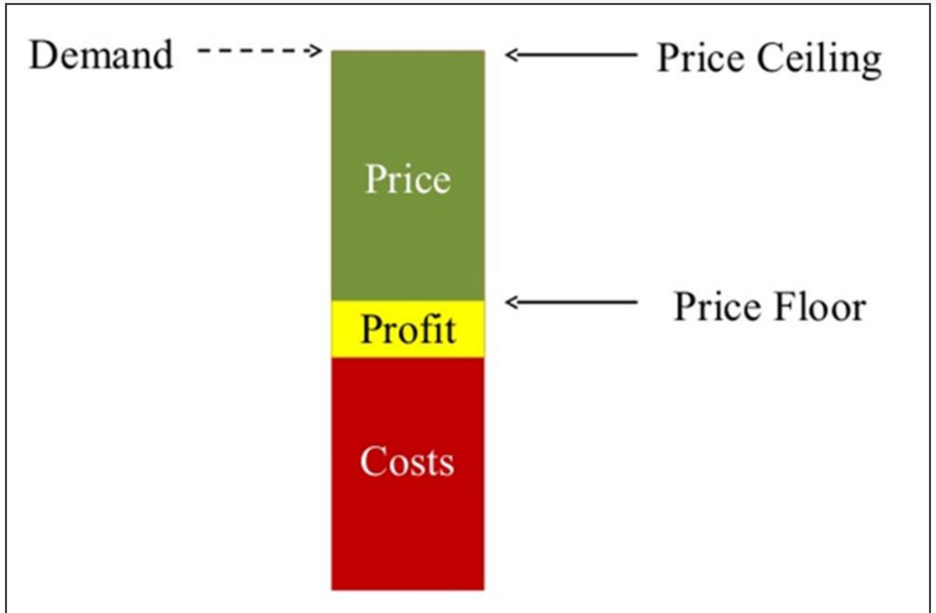
- Few sellers
- Sellers are sensitive to each other's pricing and marketing mixes
- Engage in some form of collusion

Pure Monopoly

- One seller (government or private regulated monopolist)
- Not too high for fear of attracting new entry, fast penetration, or government regulation

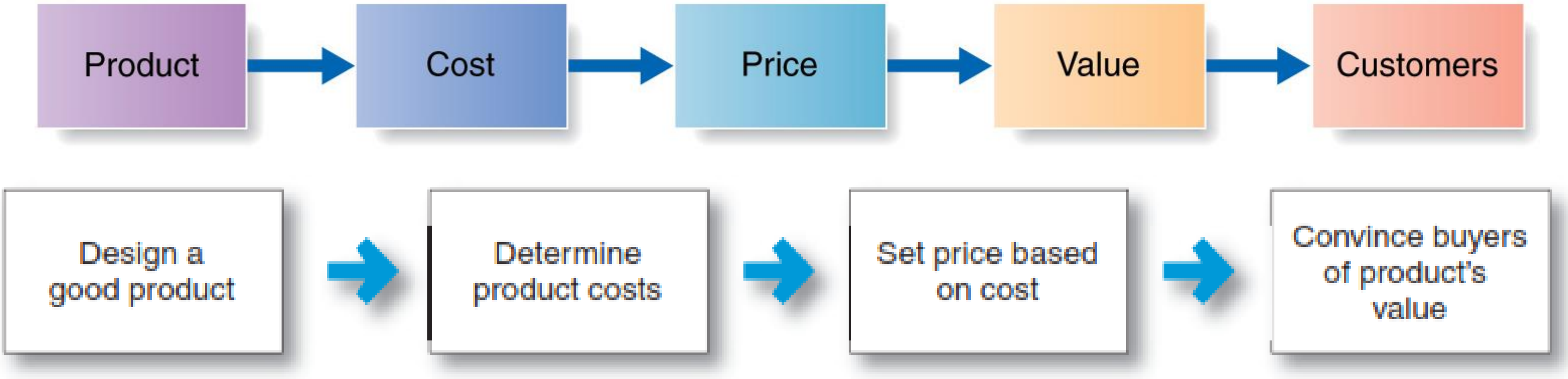
3C methods

Prices are based on three dimensions - cost, customer value, and competition.



Firm use any of the dimensions or combination of dimensions to set the price of a product.

1. Cost-based Pricing



- Cost-based pricing is product driven.
- A pricing method in which the selling price is set by evaluating all costs incurred and adding markup to cover costs and target profit
- If the costs are high, the company must settle for lower markup or lower sales
- Typically results in *under*-pricing in strong markets and *over*-pricing in weak markets

1.1 Cost-based pricing

1. Calculate total costs = direct costs (material and labor costs) + indirect costs (taxes, transport, overhead costs)

- Calculate costs per unit = total costs (variable + fixed cost)/number of units produced
  - Fixed cost 300,000
  - Variable cost 450,000
  - Expected unit sale 50,000
  - Unit cost = (300000+450000)/50000 = 15

Calculating variable expenses can be tricky, as they change every month. Try estimating the yearly total, and using an average figure. In some circumstances, overhead and other indirect costs not included in the cost calculation which necessitate higher markups to assure an adequate net profit margin.

1.1 Cost-based pricing

2. add markup

- Markup is the difference between the cost and the selling price i.e., markup is what creates profit.
- Markup is usually expressed as a percentage of the difference between gross profit and cost.
- 25-50% tends to be the standard amount, but it does vary from business to business.
  - Markup on cost = (Price-cost)/cost
  - Price = cost [1 + markup percentage] = $15[1+50/100] = $22.5

3. retail price

- A retail price is how much customers pay for a product in stores – it's the final price, and will be higher than the wholesale price sold to distributors/retailers. 50-100% tends to be the standard amount. In the clothing industry, markups are traditionally high, often ranging from 100% to 350% while electronics retailers have a markup of around 10% to 50%.
- Keystone pricing: multiply the wholesale price by 2 (and up to 2.5 to cover taxes) to get your retail price.
- Wholesale Price x 2 = Retail Price
- P = $22.5 +[(100/100) X $22.5] = $22.5 + (1.0 x $22.5) = $22.5+$22.5 = $45 (i.e. applying a 100% markup)

Markup varies by industries

- In the restaurant industry, restaurant overhead costs are high, profits in the industry are extremely low compared to other industries, averaging < 5 percent of sales
- The typical guidelines for a decent restaurant are that the price of menus items should be determined by
  - tripling an item's food costs (i.e., applying a 200% markup)
    - 30 * 3 = 90
  - quadrupling the costs of served alcoholic beverages (i.e., applying a 300% markup).
- Ideal cost pricing:
  - On average, 30-50% is spent on ingredients (road-side 40-50%, mall 30-40%, fine dining 20-25%), 15% of revenues go to labor costs, 10% for rent, 20-30% for marketing and overhead, profit 10-15%
  - Price = raw food cost / ideal food cost percentage
    - 30/.3 = 100

Fashion pricing

The industry standard is between a 2 and 2.5x markup (i.e., applying a 100-150% markup)

Everlane Transparent Pricing

We publish what it costs us to make every one of our products.
There are a lot of costs we can't neatly account for - like *design, fittings, wear testing, rent on office and retail space* - but we believe you deserve to know what goes into making the products you love.

Products with high markup

500-1,300%
(store to theater)

50-400%

200-3,000%

1,000%

4000%

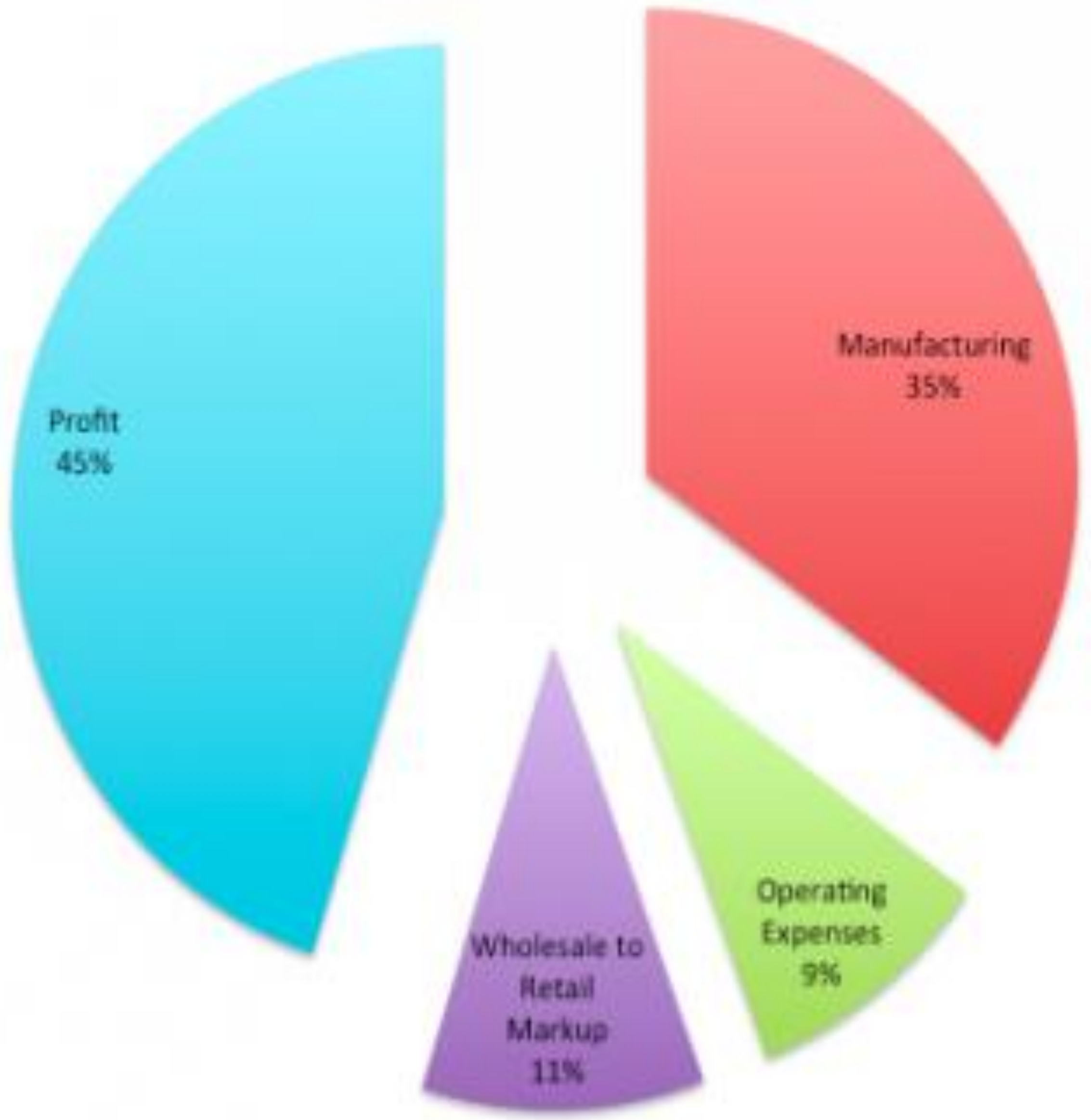
100-350%

iPhone 5 Manufacturing Cost Estimates

Flash Memory & RAM	$20.85
Display & Touchscreen	$44.00
Processor	$17.50
Sensors	$6.50
Cameras	$18.00
Cellular Radio	$34.00
Wireless Radio	$5.00
Battery	$4.50
Power Management	$8.50
Mechanical Parts	$33.00
Packaging	$7.00
Production	$8.00
Licensing Fees	$20.00
Total Cost	***$226.85***

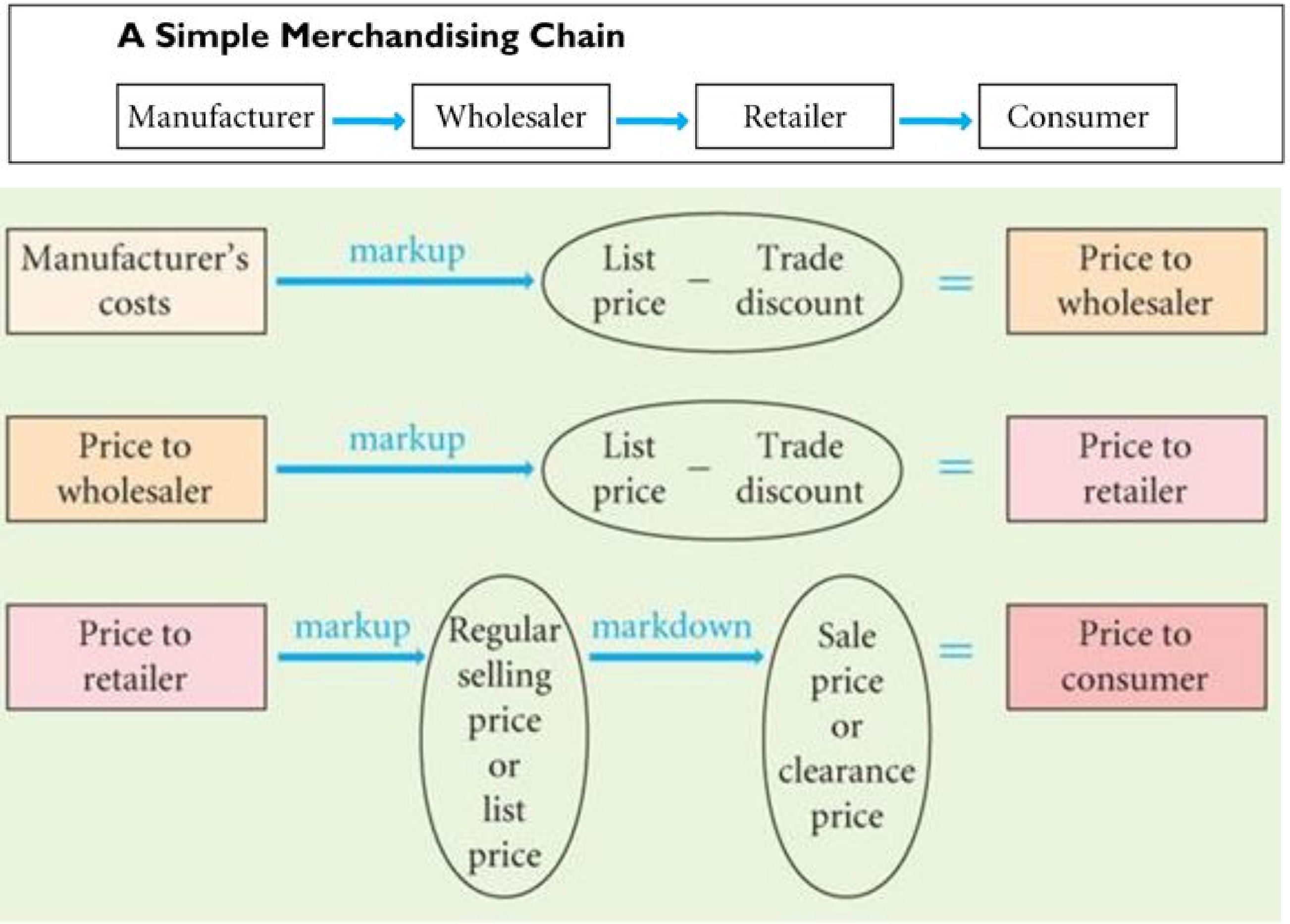
The Total Estimated Cost Inside an iPhone 5

Manufacturing	$226.85
Operating Expenses	$61.18
Wholesale to Retail Markup	$68.90
Profit	$293.06
Total Cost	***$649.99***



Mark up chain

As a product is purchased and sold along a chain, each merchandiser adds a markup above the cost of buying to the merchandise



Luxury biscuit box selection

- Manufacturer ($8 Manufacturer's cost + $1.60 (20% markup)) = $9.6
- Distributor ($9.6 cost to acquire + $2.4 (25% markup)) = $12
- Retailer ($12 cost to acquire + $12 (100% markup) = $24
- Consumers $24

1.2 Margin Pricing

Markup is the amount added to an item's costs as a percentage of that cost

Margin is the amount added to an item's cost written as a percentage of the item's price

Item Cost: $12 *Selling Price: $15* *Gross Profit: $3*

MARK-UP %

The percentage difference between the **gross profit and cost.**

$$\frac{\text{Price - Cost}}{\text{Cost}} = \frac{\$3}{\$12} = \textbf{25\%}\ \text{Markup}$$

MARGIN %

The percentage difference between **gross profit and selling price.**

$$\frac{\text{Price - Cost}}{\text{Price}} = \frac{\$3}{\$15} = \textbf{20\%}\ \text{Margin}$$

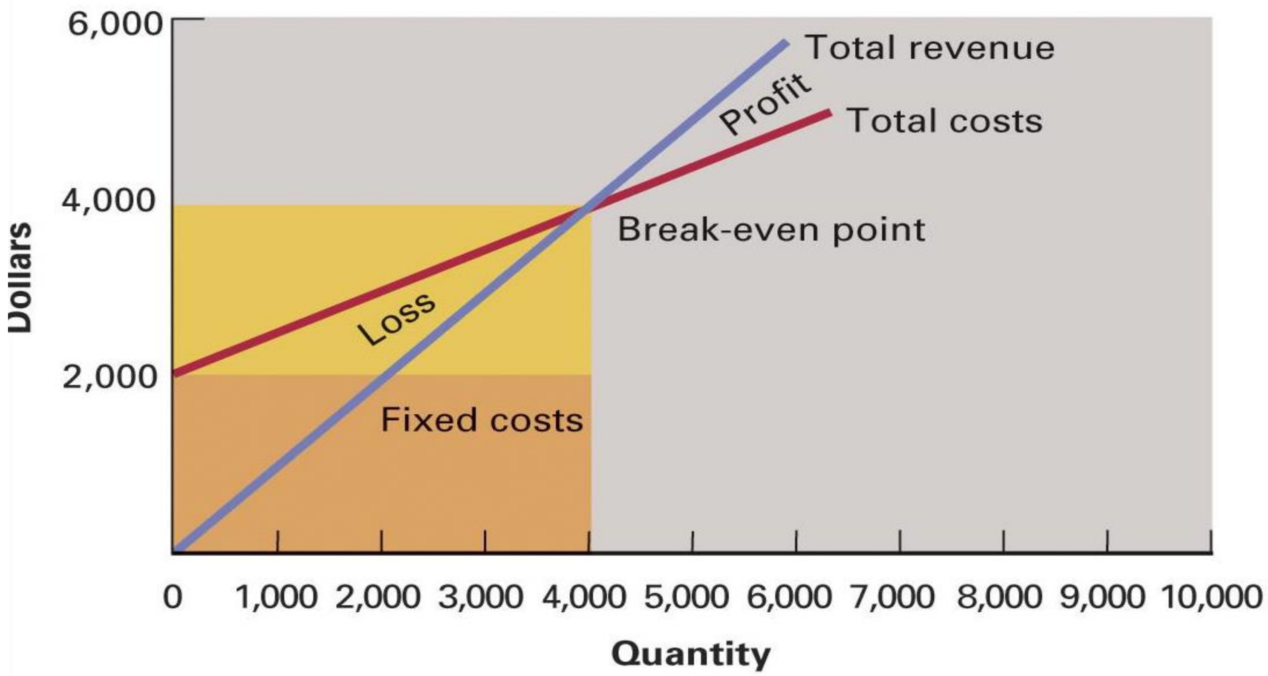
$$\text{Price} = \frac{\text{Cost}}{1-\left(\frac{\%\ \text{gross margin}}{100}\right)}$$

Many managers set gross margin (30 – 60%) as the guideline

Margin pricing is preferred as many expenses are expressed as a percentage of sales so when making comparisons, there is a consistency in expressing all expenses and costs, including markup, as a percentage of sales (selling price).

1.3 Break-even pricing

- Set the price at which total revenue=total cost
- Break-even = the point of balance between making a profit or a loss
- Helps determine what sales volume must be reached at a given price before the company will completely cover its total cost and past which it will begin making a profit



Manufacturing specialty DVDs

Copyright and distribution charges for the titles	$150,000	Fixed cost
Package and label designs for the DVDs	$10,000	
Advertising and promotion costs	$40,000	
Reproduction of DVDs	$5 per unit	Variable cost
Labels and packaging	$1 per unit	
Royalties	$1 per unit	

Break-even point = $\frac{\text{FC}}{\text{Price}-\text{VC}} = \frac{\$\,200{,}000}{\$15-\$7}$ = 25,000 units

Suppose a firm wants to get a 20% return from an investment of $1,000,000

BEP+ Target return= $\frac{\text{FC}+\text{Profit objective}}{\text{Price}-\text{VC}} = \frac{\$\,200{,}000+200{,}000}{\$15-\$7}$ = 50,000units

Break-Even Volume and Profits at Different Prices

- Break-even analysis does not provide an easy answer to pricing decision
- Firms should consider different prices, and estimate break-even volumes, expected demand, and profit for each price level

Price	Unit Demand Needed to Break Even	Expected Unit Demand at Given Price	Total Revenue (1) × (3)	Total Costs*	Profit (4) – (5)
$14	75,000	71,000	$994,000	$1,010,000	−$16,000
16	50,000	67,000	1,072,000	970,000	102,000
18	37,500	60,000	1,080,000	900,000	180,000
20	30,000	42,000	840,000	720,000	120,000
22	25,000	23,000	506,000	530,000	−$24,000

*Assumes fixed costs of $300,000 and constant unit variable costs of $10.

Cost-Based Pricing Advantage/Disadvantage

Advantages

- Easy to calculate
  - Sellers are more certain about costs than demand
  - Pricing decisions can be made by a junior level
- When all firms use this method, prices are stable → minimize competition
- Fairer to both buyers and sellers

Disadvantages

- Ignores demand, price elasticity and competitor price. Customers don't care about cost but value
  - If price is set below the level consumers willing to pay, profit is missed
  - If price is too high, the company can settle for lower sales or lower markup, and thus lower profit
- Company's costs may fluctuate, and constant price changing is not a viable strategy.
- Unknown costs
- Depends on expected level of sales
- Less motivated to control costs

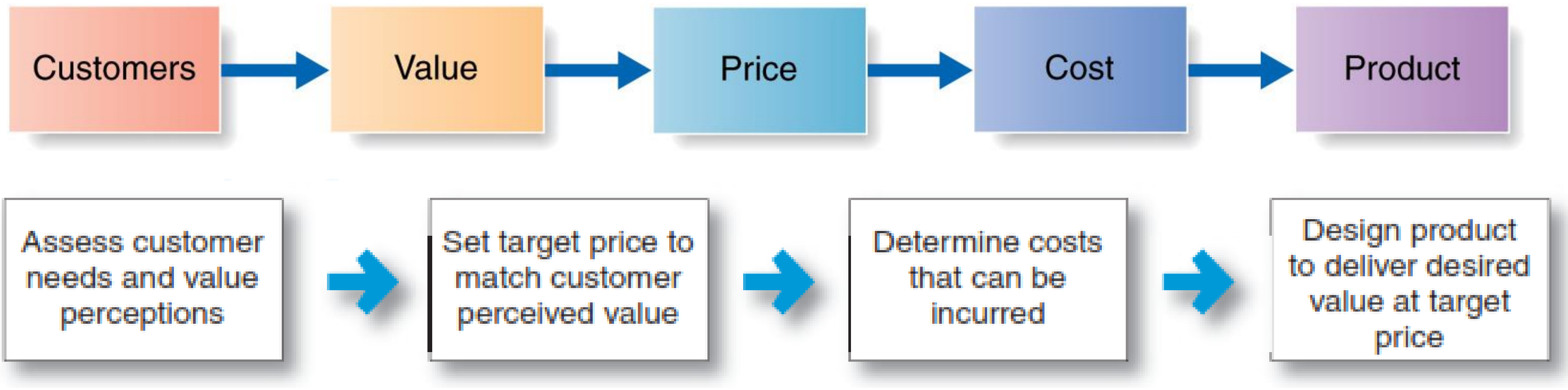
2. Competition-based pricing

- Set the price based on competitor's strategies, cost, and price
  - How does the firm's offerings compare with that of rivals?
    - If consumers perceive the company's product provides greater value, the company can charge a higher price
    - If consumers perceive less value, the company can either
      - Charge a lower price
      - Change customer perception to justify a higher price
  - How strong are their competitors? What are their current pricing strategies?
    - If competitors are small firms charging high price, the company can charge lower prices to drive them out of the market
    - If competitors are strong, low-price leaders, the company may
      - Change the target (unserved market niches)
      - Increase value of the product and charge higher prices

3 ways to price based on rivals

- Pricing to MEET competition
  - Quality, service, advertising to attract customers
  - Require an accurate definition of competition and a knowledge of competitor's prices.
- Pricing ABOVE competition
  - Require a clear advantage on nonprice elements to justify a premium price
- Pricing BELOW competition
  - Aim to achieve large sales volume
  - Effective if a market is price-sensitive, and firm is a cost leader
  - Drawback: price war, hard to raise price/image

3. Value-based pricing



- Pricing that is determined by how much customers value product benefit. Also, it involves building the most valuable product possible to raise price
- Not quick and easy as cost and competitor-based pricing.
- Hard to measure the value customers attach to the product.
  - Calculate cost of ingredients in a meal at a fancy restaurant is easy, but assigning value to other satisfactions such as taste, environment, relaxation, conversation, and status is very hard. Such value is subjective; it varies both for different consumers and different situations.

"Value pricing" strategies are based on the assumption that consumers see different value in different situations

		How Much Would You Expect to Pay? (PART A)	Why More/Less Value? (PART B)
1	At a supermarket *(on shelf, not cold)*		
2	At a supermarket *(in a cooler, cold)*		
3	At a convenience store		
4	At McDonalds		
5	At an expensive restaurant		
6	At the movies		
7	At a bar		
8	From a vending machine		
9	At the airport		
10	At the zoo *(no access to other shops)*		

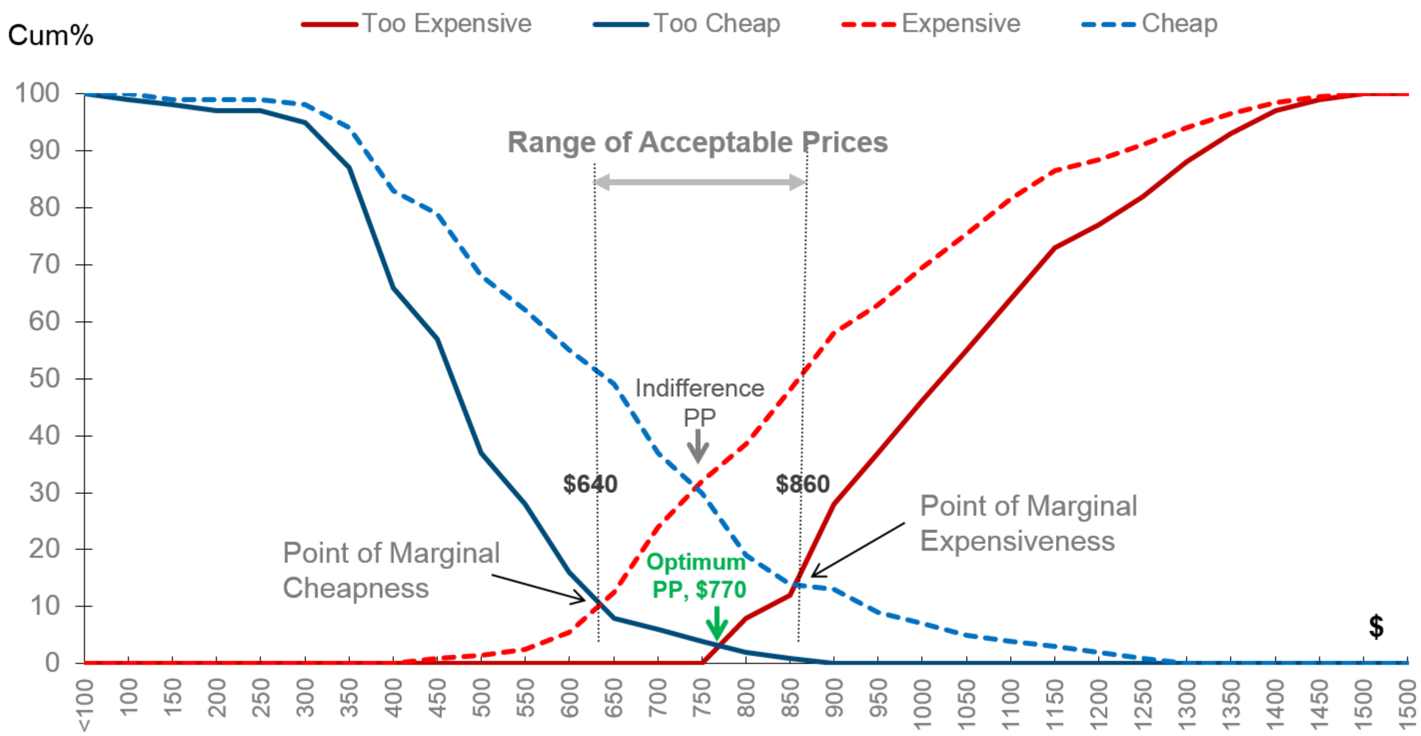
Example

How much are you willing to pay?

- Measure value by asking customers how much they would pay for a product/each benefit, or conducting experiments to test perceived value of different products

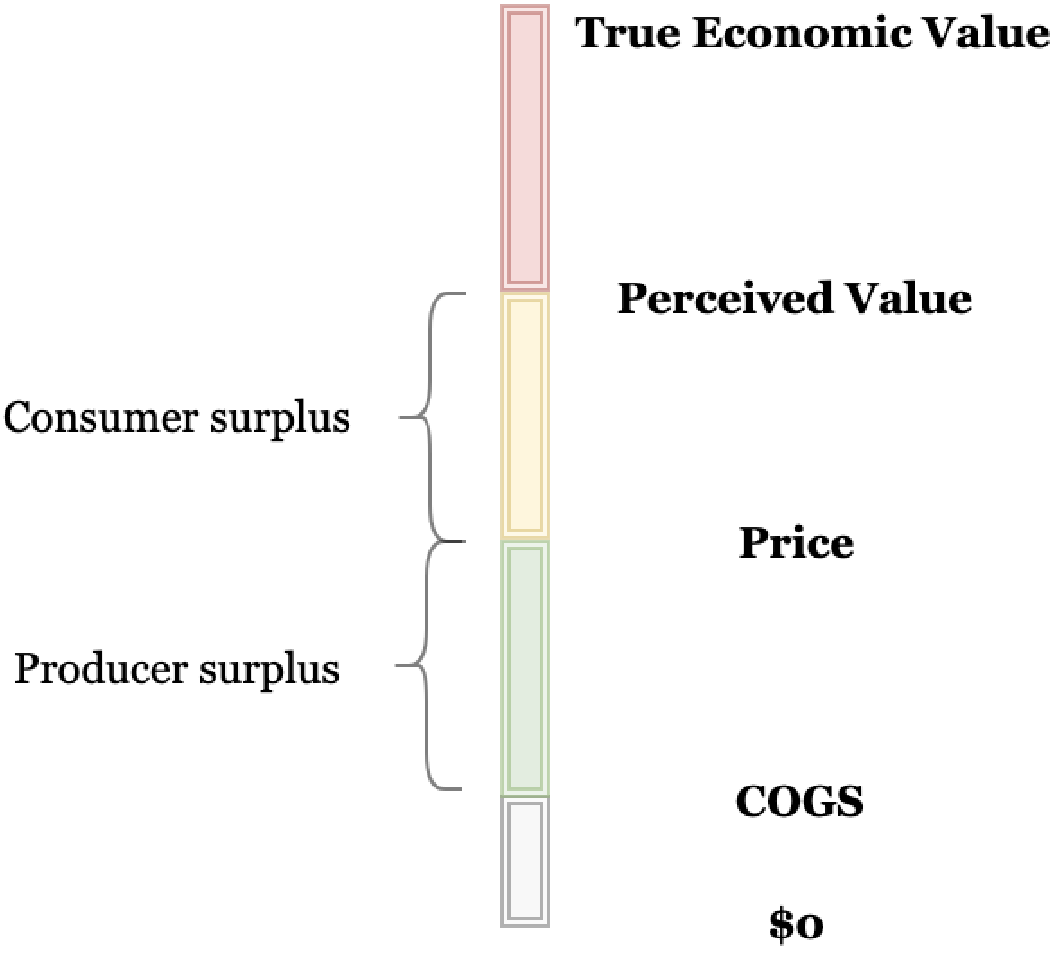
Van Westendorp Price Sensitivity Meter

- At what price would you consider the product to be 1. Too cheap 2. Cheap 3. Expensive 4. Too expensive
- An acceptable price range is 640-860 in which customers' responses cross one another.



True economic value

TEV is the sum of the value offered by each product feature. It represents what a customer will pay for a product that delivers value in excess of its closest competitor.



= price of the next-best alternative ± value of the performance differential compared to next-best alternative

The pricing should be such that it has incentive for a firm to sell by capturing the producer surplus and user has an incentive to buy to capture the consumer surplus. Marketers try to move the perceived value to the True economic value.

For example, The next best alternative is $219 for a similar high-performance running shoe (5g heavier, Neon color)

Your product's point of difference is 5g lighter. The survey suggests that consumers are willing to pay $30 extra for light weight, and $15 for a special color.

Value-based price should be $219+30-15=235

Value-Based Pricing
Advantage/Disadvantage

- Advantage:
  - Customer satisfaction and loyalty achieved when value justifies high price
  - Potential for higher profits

- Disadvantage:
  - High price may be acceptable to a small number of customers
  - Competitors may offer low prices and takeaway market share

Comparison between pricing strategies

Value-based pricing		Cost-plus pricing		Market-based pricing	
Pros	**Cons**	**Pros**	**Cons**	**Pros**	**Cons**
Strong competitive advantage	Requires a lot of effort and knowledge from the sales force	Straightforward	Lost profit if production cost is cut	Works well in mature markets	Complex, requires much effort
Adapted to customer needs	Will only be accepted by a small number of customers	Easy to use	Hard to determine unit cost price before setting price	No big price differences between competitors	Competitors might have different cost structures
Motivates higher prices	Leaves room for competition to gain market share by offering lower prices		Does not take into consideration that price, sales volume and cost are interrelated		
Optimized profit in each sales situation	Not suitable for standard products		Often leads to overpricing in weak markets and underpricing in strong markets		
			Reactive instead of proactive		

Final Price

- **Final price is influenced by response of several parties**
  - Feedback from customers (Test market)
  - Additional pricing strategies of firms (discount, segmented pricing) → Next class
  - Reaction of other parties—distributors, dealers, sales force, competitors, suppliers.
  - Government may intervene and prevent price from being charged
  - Environment changes: poor economic condition, high costs of raw materials, advance in technology